

Poonawalla Fincorp Limited

CHARTER OF ETHICS AND DISCIPLINARY COMMITTEE

Effective Date: 29.04.2024

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Version No.: 2.0

Approved by: Board of Directors

Charter Owner: HR

Custodian: Head HR

This document is confidential in nature and supersedes any Terms of Reference of Ethics and Disciplinary Committee existing in the Company, and should be read in conjunction with the most recent policies and procedures documented.

Subject: Ethics and Disciplinary Committee - TOR	Original Issue Date: 01.02.2022	Effective Date: 29.04.2024
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ETHICS & DISCIPLINARY COMMITTEE - TERMS OF REFERENCE

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1. Purpose

- 1.1. The purpose of the Ethics & Disciplinary Committee (“Committee”) is to assist the Management in the establishment, embedding and oversight of values, the code of conduct & disciplinary framework. The Committee shall ensure and monitor the overall ethical health of the organization and compliance with professional and ethical standards, Code of Conduct & disciplinary framework.
- 1.2. The Committee is responsible for keeping key relevant risks under review and monitoring mitigation activities and controls.

2. Authority

- 2.1. The Committee has authority to investigate any matter within its Terms of Reference and to obtain such information as it may require from any officer or employee or any other person associated with the Company.

3. Constitution

- 3.1. The constitution of the Committee will be as follows wherein the Head - Human Resource shall act as Chairman of the Committee –
 - 3.1.1. Head Human Resource
 - 3.1.2. Chief Compliance Officer
 - 3.1.3. Chief Risk Officer
 - 3.1.4. Chief Internal Auditor
 - 3.1.5. Chief of Staff

4. Proceedings of Meetings

- 4.1. Frequency of Meetings
 - 4.1.1. The Committee shall meet at least four times in every financial year with a maximum interval of one hundred and twenty days between any two consecutive Meetings and otherwise as required.
 - 4.1.2. Meetings of the Committee may be called by the Chairman of the Committee at any time to consider any matters falling within these Terms of Reference.
- 4.2. Quorum
 - 4.2.1. Any three members of the Committee may form a quorum.
 - 4.2.2. Quorum shall be present throughout the Meeting.
 - 4.2.3. A duly convened meeting of the Committee at which a quorum is present shall be competent to exercise all or any of the authorities, powers and discretions vested in or exercisable by the Committee.
 - 4.2.4. Any officer or employee or any other person associated with the Company may attend at the invitation of the Chairman of the Committee, and they may collectively or individually be

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requested to withdraw from meetings of the Committee if required to do so by the Chairman of the Committee.

4.3. Chairman

4.3.1. If the Chairman is unable to attend the Meeting, the members present at the Meeting shall elect one of themselves to chair and conduct the Meeting.

4.4. Invitees to the Committee: The Committee at its discretion shall invite any functional heads whose presence is required to discuss any case, to be present at the meetings of the committee. Such invitees shall have no voting rights.

5. Resolutions

5.1.1. The Committee shall reach decisions by a simple majority of those voting on the issue in question. If the numbers of votes for and against a certain proposal are equal, the Committee Chairman shall have a casting vote.

5.1.2. Any resolution evidenced in writing or by electronic or voice recognition means, by such member or members of the Committee as would have been necessary to pass such resolution had all members of the Disciplinary & Ethics Committee been present at a meeting to consider such resolution, shall be valid and effective as if it had been passed at a meeting of the Committee duly convened and held, provided that notice and details of the proposed resolution have been given in advance to each member of the Committee.

6. Responsibilities

The Committee shall in fulfilling its primary objectives, it shall undertake the following responsibilities and duties: -

6.1.1. Receive, process, investigate and determine the genuineness and seriousness of any complaint/report raised.

6.1.2. Conduct initial enquiry on any complaint/report received.

6.1.3. Review the findings of investigation in respect of any complaint/report/recommendation.

6.1.4. Dismiss any complaint/report if the same shall have no basis or merits or is not a matter to be dealt with

6.1.5. Decide on the appropriate actions to be taken to address the complaint/report/recommendation.

6.1.6. Act in a neutral & unbiased way while investigating a complaint.

6.1.7. Conduct its own investigation into any complaint/report/recommendation, if deemed necessary.

6.1.8. Review and evaluate the effectiveness of Whistleblowing Policy and recommend any changes it considers necessary to the management for approval.

6.1.9. Ensure that Management establishes effective procedures ("Whistleblowing Procedures") for the purposes of receiving, processing, identifying, investigating, reviewing, evaluating, recommending, decision making, responding to complaint/report/recommendation received and the Whistleblowing Procedures are in placed accordingly.

6.1.10. Review the Terms of Reference and its own effectiveness and recommend any changes it considers necessary to the management for approval.

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6.1.11. Consider any other matters in relation to whistleblowing as may be delegated from time to time by the management.

6.1.12. To ensure the closure on complaints & subsequent actions within stipulated time frame.

6.1.13. The above list is not exhaustive and the Committee may, in addition, perform such other functions as may be necessary or appropriate for the effective performance of the Committee.

6.1.14. The Chairman of the Committee shall engage on a continuous basis with Senior Management, such as the Managing Director, Executive Director, and Chief Financial Officer in order to be kept informed of matters affecting the Company.

7. Reporting

7.1.1. Minutes of each Committee meeting will be disclosed at the next meeting the Committee and of the Audit Committee. The Chairman of the Committee shall report to the Audit Committee. on a six monthly basis on its work and areas of concern and areas of further action.

8. Governance and Resources

8.1.1. The Chairman of the Committee shall make available to new members of the Committee a suitable induction process and for existing members, ongoing training as discussed and agreed by the Committee.

8.1.2. The Committee shall conduct an annual self-assessment of its activities under these Terms of Reference and report any conclusions and recommendations to the management and, as part of this assessment, shall consider whether or not it receives adequate and appropriate support in fulfilment of its role and whether or not its annual plan of work is manageable.

8.1.3. The Committee shall in its decision making, give due regard to any relevant legal or regulatory requirements, and associated best practice guidance, as well as to the risk and reputation implications of its decisions (liaising where relevant with other committees).

8.1.4. The Committee shall have access to sufficient resources in order to carry out its duties and have the power to engage independent counsel and other professional advisers and to invite them to attend meetings.

9. Confidentiality and Anonymity

9.1. All whistleblowing information and reports received by the Committee are to be treated as confidential and the whistleblower's identity will not be revealed unless it is required by law. The whistleblower is to be given an assurance that his/her identity will only be shared on a need to know basis and the outcome of the investigation will be fed back to the whistleblower. This is to encourage more whistleblowers to come forward to raise their concerns without fear.

9.2. All whistleblowing reports have to be made in good faith with reasonable belief that the information and allegations are true and should not be frivolous/malicious and not for personal gain.

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10. Terms of Reference

The Committee shall annually review its Terms of Reference.

11. Change Control

Version No.	Change Request by	Memorandum of Change	Approval date
-	-	Pursuant to Reconstitution of the Committee	21.02.2022
-	-	Pursuant to Reconstitution of the Committee	07.07.2023
2.0	Head- HR	Annual Review	29.04.2024